

Global video games

Gamer's digest: AI vs Video games

- ◆ AI risks impaired the sector, but as concerns abated, we haven't seen the bounce back, thus presenting opportunities
- ◆ GTA VI clears competitive calendar and could drive demand; Microsoft cuts highlight concentrated ecosystem focus
- ◆ APAC gaming companies more explicit on AI returns vs Western companies but both directionally positive

AI risks addressed, but recovery stalled: As we wrote in our previous sector note: [Global video games - This genie won't go back in the bottle](#) (2 Feb 2026), we do not believe AI would be the final boss for large game studios. Gaming companies with well-known IP's will always be able to find a customer base and so even with the risk of more AI games content, we believe established operators will fare better. Furthermore, despite the potential advantages to operators from AI, gaming shares have been collateral damage in the AI vs Software debate and remain down c15% from the Project Genie release, an overreaction, in our view, but raises opportunities.

AI cost/benefit unclear: AI has been part of the video gaming industry for a number of years and while generative AI is still in the early stages of use, it is clear to us that they are not driving cost savings or reduction in staff numbers, but rather productivity benefits. APAC gaming companies have been more explicit in highlighting AI benefits vs western names but don't expect margin improvements.

Themes for 2H and beyond: Microsoft (one of our preferred software plays) gaming cuts highlight their future focus is on growing key franchises, the ecosystem, and improving engagement. Next-gen consoles could likely be released in 2028; combined with new content, we believe demand should pick up from current levels. GTA VI will be a key driver and could also benefit for industry demand.

Key picks: TTWO: Catalyst will mainly come from the release of GTA VI in Nov 2026 and scope for LT margin expansion supported by uptake of the DTC platform and advances in AI-powered marketing and tools. **Tencent:** We like its market leadership, ability to develop and operate evergreen titles, and strong game distribution network effect. Another play on Tencent is via **Naspers/Prosus** where Tencent makes up c80% of its Group NAV and NXN/PRX trades at a c40% discount to NAV; with catalysts, this NAV discount can unwind over time. **NetEase:** We like its market leadership, ability to develop and operate evergreen titles, with next catalyst as Ananta next year. **NC Corp:** The company is entering into a full-fledged earnings growth cycle due to JustPlay-centric mobile casual platform business, successful utilization of legacy IPs, and accelerating new release cycle. **Krafton:** We note the solid PUBG IP growth in accordance with key updates and increasing non-PUBG IP's earnings contribution, alleviating one-IP risk. **Century Huatong:** We see strong strength in game overseas expansion and faster profit growth than peers driven by several key game titles.

We make no changes to our TPs, ratings, or estimates in this report.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

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HSBC Funding the Future Survey

AI megadeals and the rest

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Peer Valuation table

Company Name	Ticker	M Cap FX (millions)	Rating	Current Price	Target Price	% upside	P/E		EV/ EBITDA		DY		Net Debt (cash) to EBITDA	
							2026e	2027e	2026e	2027e	2026e	2027e	2026e	2027e
CD Projekt	CDR PW	PLN 6,934	Hold	258.3	275.0	6.5	NM	17.8x	NM	11.5x	0.4	0.4	-2.4x	-0.9x
Take-Two	TTWO US	USD 45,324	Buy	242.4	285.0	17.6	30.2x	22.6x	31.3x	19.5x	0.0	0.0	0.5x	-0.7x
Roblox Corp	RBLX US	USD 26,911	Hold	37.7	38.0	0.8	NM	NM	17.3x	15.6x	0.0	0.0	-1.3x	-1.7x
Unity Software	U US	USD 20,570	Buy	46.7	47.1	0.9	39.0x	29.5x	28.5x	21.0x	0.0	0.0	-1.5x	-1.0x
Tencent	700 HK	HKD 513,440	Buy	442.4	655.0	48.1	15.3x	15.4x	12.4x	11.4x	1.1	1.1	0.6x	0.6x
Century Huatong	002602 CH	CNY 15,587	Buy	14.3	23.6	65.5	11.5x	9.3x	7.1x	5.0x	1.3	1.6	-2.1x	-2.5x
NetEase, Inc.	NTES US	USD 80,108	Buy	124.8	150	20.2	13.5x	11.9x	11.0x	9.7x	2.7	3.3	-1.1x	-1.2x
Microsoft	MSFT US	USD 3,576,365	Buy	481.6	595	23.5	26.1x	21.9x	16.6x	13.3x	0.8	0.9	-	-
Naspers	NPN SJ	ZAR 36,688	Buy	779.3	1320	69.4	8.9x	7.7x	NM	NM	1.6	1.8	9.5x	5.4x
Prosus	PRX NA	EUR 93,638	Buy	37.0	67	81.1	9.8x	9.1x	NM	NM	0.6	0.7	2.7x	1.5x
NC Corp	036570 KP	KRW 3,507	Buy	230,000	390,000	69.6	10.3x	8.8x	4.4x	3.6x	1.5	1.7	-2.5x	-2.8x
Krafton	259960 KP	KRW 7,396	Buy	226,500	380,000	67.8	11.3x	9.3x	6.3x	5.7x	1.0	1.0	0.1x	-0.1x
Nintendo Co. Ltd.	7974 JP	JPY 63,330	N/R	8,760.0	N/R	-	24.6x	23.2x	17.6x	16.3x	2.4	2.5	5.2x	5.1x
Sony Corp	6758 JP	JPY 136,920	N/R	3,718.0	N/R	-	17.2x	16.1x	7.5x	7.5x	0.8	0.9	0.6x	0.9x
Bandai Namco	7832 JP	JPY 21,486	N/R	5,342.0	N/R	-	22.3x	20.8x	11.9x	11.0x	1.8	1.9	1.9x	2.0x
Konami	9766 JP	JPY 18,311	N/R	21,540.0	N/R	-	23.0x	20.9x	12.8x	11.8x	1.3	1.4	1.7x	1.9x
Capcom	9697 JP	JPY 10,769	N/R	4,105.0	N/R	-	27.2x	23.7x	16.1x	14.1x	1.2	1.4	1.8x	1.8x
Square Enix	9684 JP	JPY 6,525	N/R	2,885.0	N/R	-	24.5x	23.3x	11.7x	11.1x	1.9	1.9	4.3x	4.4x
Weighted Avg.							23.9x	20.5x	15.9x	12.9x	0.9x	0.9x	0.3x	0.2x
Simple Avg.							19.7x	17.2x	14.2x	11.7x	1.1x	1.3x	1.1x	0.7x

Source: HSBC Estimates, Visible Alpha, Price as of 18 Aug 2026

AI vs Video Games

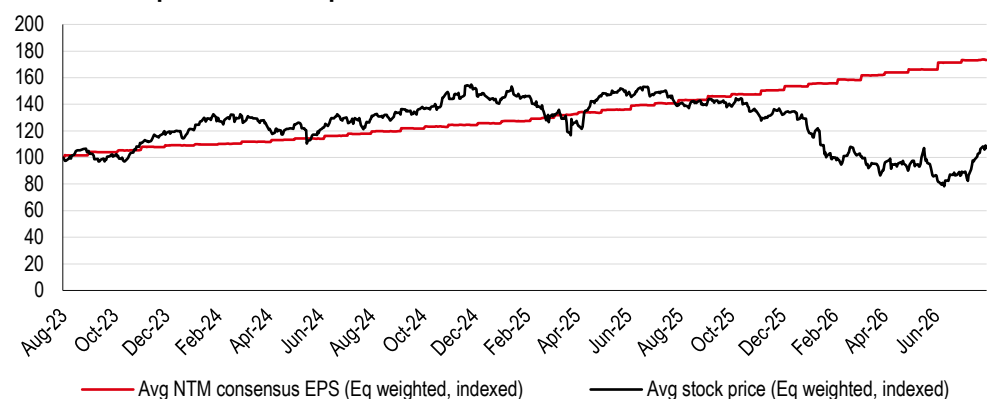
- ◆ The gaming sector was collateral damage in the AI vs Software debate, with sector shares down c15% since Project Genie release
- ◆ Operators are starting to quantify the benefits of AI, but we think costs will not go down, but productivity will improve
- ◆ We continue to like names with established IP, which we view as the most important factor in driving growth in the future

AI vs Video Games – caught up in harmful hallucinations

The video games sector continues to suffer the fall out from Project Genie (Google announced their Project Genie, LLM's ability to create games world with text-based prompts, on 29 January 2026).

There has been limited new developments since the announcement, but the video games industry has been trying to disaggregate itself from the wider AI vs Software debate, which has seen software sector share prices fall by up to c33% over the course of the year, but now only down c10% YTD.

Software companies*: Stock price vs consensus EPS estimates**



Source: LSEG Datastream, HSBC *Using an equal weighted index of Microsoft, SAP, Salesforce, ServiceNow, Adobe, Intuit and Autodesk **non-GAAP EPS

This compares to the global video gaming sector which is still down c15% since the launch of Project Genie and, in our view, has been collateral damage in the Software Vs AI debate, but has also not recovered in the same way, despite FY1 earnings revisions being up c6.5% YTD.

Global video gaming index (rebased to 100) – YTD


Source: Bloomberg, Shaded line reflects launch of Project Genie for Premium Google AI users, on 29 January 2026

We think well established IPs will be the ones that stick out and capture share

As we wrote in our previous sector note: [Global video games - This genie won't go back in the bottle](#) (2 Feb 2026), we do not believe AI would be the final boss for large game studios, i.e. more competition isn't the issue. Rather, we see the issue as the ability to stand out in a potential future that is inundated with new content. In those scenarios, we think well established IPs will be the ones that stick out and capture share.

Global video gaming index (rebased to 100) – 5 Year


Source: Bloomberg

1 YR forward estimates have rallied over the period, and are up c24% since Project Genie was announced, but are up just c6.5% YTD. The industry has also taken steps to highlight where the value from AI will come from and where their own moats are, though we are seeing limited commentary on how it is translating to improving cost control.

With that said, we note the Chinese and Korean listed gaming companies have been better at highlighting their improvements from AI, partly due to their strategy around AI, but also possibly linked to their focus on mobile / non-console related game play. Conversely, western operators have been more qualitative around AI benefits with very limited commentary (at least so far) on how these translate to lower costs.

Our view is that AI usage in the video games sector, while coming with productivity benefits, has its own cost limitations, making sustainable cost savings harder to come by. With that said, as AI purports to reduce barriers to entry for video game creation, we believe (at least in the smaller scale / mobile space) we will see significantly more competition, resulting in established operators having more opportunities to stand out with their established IPs.

Key picks

Key picks:

Tencent
NetEase
Naspers/Prosus
Century Huatong
Take-Two
Krafton
NC

We continue to like **Tencent (Buy)** and **NetEase (Buy)** as our preferred names in China online game sector given their market leadership, ability to develop, and operate evergreen titles. Sitting on a wealth of user data and given its in-house model development efforts, we think Tencent is especially poised to benefit more. Furthermore, its game distribution network via Weixin and QQ and mini games ecosystem are difficult to replicate especially amid any potential disruption of AI, allowing the company to also benefit as a distributor should game supply increase. Finally, as a developer, its library of popular IP and its operating experience of high DAU titles should collectively help Tencent defend its leadership position.

An additional access point to Tencent is via **Naspers/Prosus (Buy/Buy)** where the Group NAV discount is c40%, with Tencent making up c80% of its Group NAV. Naspers/Prosus's share price closely mirrors Tencent's share price dynamics and, thus, a cheaper way to gain exposure to the name.

For A-share online game sector, we like **Century Huatong (Buy)**. AI is poised to help its games' launch of international versions and extend the lifecycle time. Moreover, its advantages of developing hard-core games and traffic purchase ability help it cope with the potential impact of AI

Take-Two: We maintain our Buy rating given TTWO's strong IP and track record for developing hit sequels; we see upside to FY27/28e booking forecasts given strong pre-sale trends for blockbuster title GTA6, and scope for long term margin expansion supported by growing uptake of the DTC platform and advances in AI-powered marketing and development tools.

Krafton: We have positive view on Krafton for two key reasons: 1) PUBG IP, which accounts for over 90% of total revenue as of 2025, is still growing (company's content updates and IP collaborations are working well for user growth); (HSBCe: PUBG IP's sales growth of 15%/13%/18% y-o-y in 2026e-28e). 2) We see increasing earnings contribution of non-PUBG IP from 2026, with successful launch of Subnautica 2, alleviating the market's concerns over Krafton's one IP risk. We forecast non-PUBG IPs' sales contribution to jump to 14%-16% during 2026e-28e from only 5% on average during 2023-25. This is likely to somewhat alleviate market scepticism regarding the numerous studio investments made over the past years, leading to an alleviation of a significant discount in valuation compared to the global peers.

NC: After an earnings deterioration over the past three years due to the intensified competition in mobile MMORPGs amid stalled growth in target user base based on inefficient labour structure, we expect NC to enter into a full-fledged earning growth cycle from 2026 thanks to 1) successful diversification of revenue stream by acquiring JustPlay, the ad-tech reward platform that generates ad revenue through mobile casual games (we forecast its OP contribution to reach to nearly 20% in 2027e), 2) utilizing legacy IPs (e.g. Lineage Classic and AION 2), and 3) accelerating new game launch cycle including non-MMORPGs. While we forecast 2026e-28e average EPS growth of 24% y-o-y, it is currently trading at 27e PE of 9x, which looks attractive to us.

Microsoft is one of our preferred names in the software sector

Microsoft (Buy) is one of our preferred names in the software sector. We expect Microsoft's non-GAAP EPS to rise at a CAGR of 19.1% over FY26-30e driven by 40.1% revenue CAGR for Azure. We are not concerned about high capex (USD176bn and USD239bn in CY26e and CY27e) as we expect an ROIC of more than 14% for Azure investments. Microsoft is trading at CY27e non-GAAP PE of 21.3x, which we consider inexpensive considering sharp EPS CAGR. Our FY27-29e non-GAAP EPS estimates are 4-7% above Visible Alpha consensus.

Collateral damage from AI vs Software

We see no signs of material AI disruption to software

As explained in our note [Taking stock of AI threat for software](#) (dated 25 June 2026), we see no signs of material AI disruption to software. Software revenue growth remained strong in 1Q26 and 2Q26. Current remaining performance obligations also posted strong double-digit growth. Multiple software companies (e.g. SAP, Salesforce, and ServiceNow) provided multiyear guidance and are generally guiding to a continuation of strong growth for several years. There are no signs of pricing pressure in the sector. Most software companies reported increased non-GAAP operating margin in 1Q26 and 2Q26 are guiding to further margin expansion.

Software companies are generally downplaying concerns about AI disrupting their business and are buying back shares aggressively. If we leave aside outliers, total share buybacks by major software companies are up more than 3x since 2023-24.

Software sector: Constant currency revenue remains strong

Revenue (y-o-y, cc)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
ORCL ex OCI	3.0%	0.4%	3.3%	4.5%	2.9%	5.8%	4.8%	3.1%	4.5%	4.1%
ADBE	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%	10.0%	10.0%	11.0%	11.0%
CRM	11.0%	9.0%	8.0%	9.0%	8.0%	9.0%	8.0%	10.0%	12.0%	NA
INTU: Global business Soln	18.1%	19.9%	8.5%	19.0%	19.4%	17.8%	17.6%	18.5%	15.3%	NA
NOW	24.0%	22.5%	22.0%	21.0%	19.5%	21.5%	20.5%	19.5%	19.0%	22.5%
SAP	9.0%	10.0%	10.0%	11.0%	11.0%	12.0%	11.0%	11.0%	12.0%	11.0%
Microsoft Dynamics 365	22.0%	20.0%	19.0%	18.0%	18.0%	21.0%	16.0%	17.0%	17.0%	12.0%
Hubspot	23.0%	20.0%	20.0%	19.7%	18.0%	18.0%	18.0%	18.0%	18.2%	17.5%

Source: Company data, HSBC estimates

We see software as the primary mechanism for the diffusion of AI across the world's largest enterprises

As explained in our note [Software Will Eat AI](#) (dated 24 Feb 2026), we believe software will be the primary mechanism for the diffusion of AI across the world's largest enterprises. Foundation models and vibe-coding are not replacements for software within an enterprise for their main IT platforms. Foundation AI models are inherently flawed, technically, and are not suited for a "lift-and-replacement" of major software platforms. While there are limited cases where this is appropriate, like an image creation program or small software app, this is not realistic for the majority of high-fidelity enterprise class platforms, in our view.

Productivity boost from vibe coding is often overestimated

Many of us have used AI tools to make simple programs and have come away amazed at how quickly it is able to come up with programs that would have taken us days manually. Many investors, in our opinion, are making the mistake of extrapolating these superlative productivity gains into large enterprise software applications.

As the system that one is are trying to vibe code becomes larger, one's ability to describe it accurately in plain English deteriorates. If a user feeds incorrect or incomplete description to AI coding tools, they will generate a wrong program. Even if the user provides a perfect description, LLMs are still prone to hallucinate and make occasional mistakes. Discussions with programmers gives us a sense that AI code generators are dramatically increasing the speed of writing code, but they make subtle mistakes and human employees are forced to spend significant time catching mistakes, largely offsetting the benefit from quickly written code.

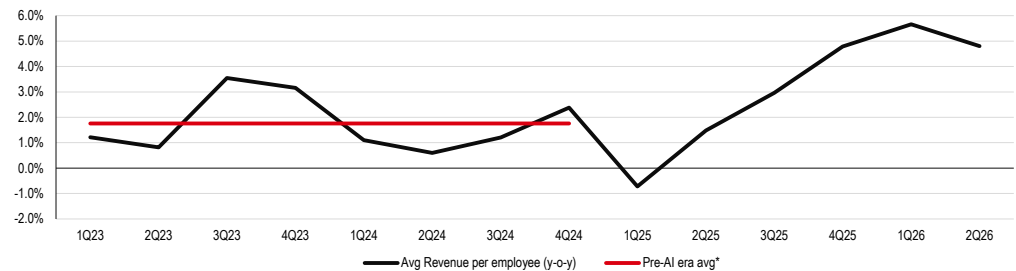
IT services productivity gain – no tangible improvement in efficiency

We estimate IT sector productivity may have been boosted by at best 100-200bp due to the adoption of AI tools. We are using revenue per employee as one measure of productivity. Over 2023-24 (before AI coding tools became ubiquitous), revenue per employee for major IT service companies rose by c2% p.a. We have seen sector revenue per employee rise by c5% y-o-y in 1Q26 and 2Q26.

We see no indications a typical IT service employee is seeing any dramatic improvement in productivity

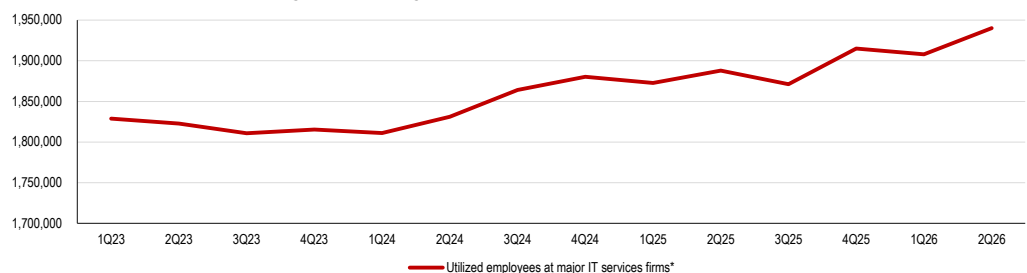
We see no tangible metric that would indicate that a typical IT service employee is seeing any dramatic improvement in productivity. Revenue per employee is rising barely above inflation while changes in number of employees or their utilization is unremarkable.

AI may have added 100-200bp to IT services sector productivity growth



Source: Company data, HSBC estimates *2023-24 as AI coding tools were not prevalent at that time

Number of utilized employees at major IT services firms*



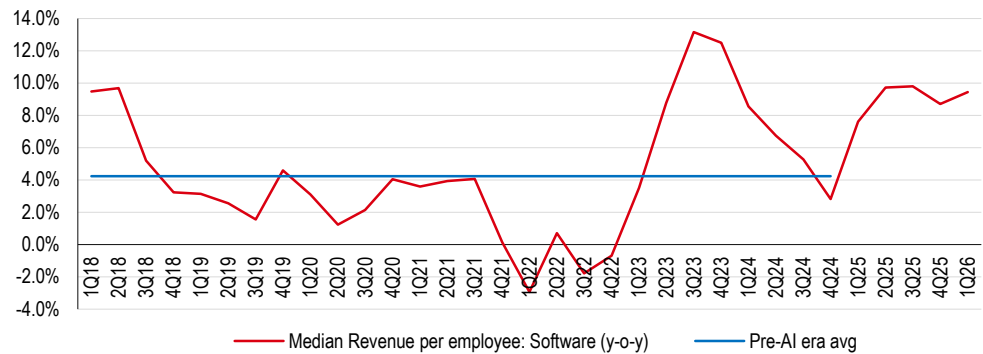
Source: Company data, HSBC *Employees (excluding those who are on bench/unutilized) at Accenture, TCS, Infosys and CapGemini as a proxy for the entire sector

Software productivity gain

We estimate AI tools may have boosted software sector productivity growth by up to c500bp. Over 2018-24 (before large scale adoption of AI coding tools), software companies saw their revenue per employee rise at a CAGR of about 4.2% while the broader technology sector saw its revenue per employee rise at a CAGR of about 4.3%. Revenue per employee for software companies rose by c9% y-o-y in the last few quarters. Broader technology sector revenue per employee rose by 10-13% y-o-y as the growth was dominated by cloud infrastructure, social media, and search sectors, which are much less employee-intensive.

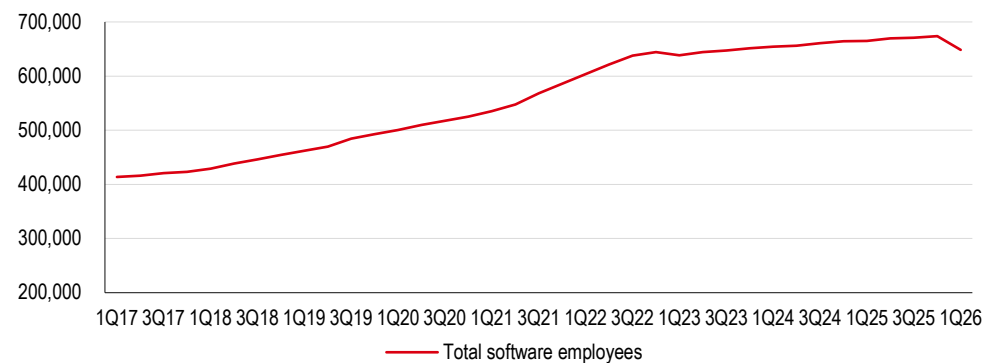
Revenue per employee is an imperfect measure of productivity, especially in the software sector due to high operating leverage. Revenue per employee dipped during 2019 and 2022 due to broader slowdown in growth and not because of any reduction in productivity. Likewise, some of the recent boost may be cyclical as opposed to true increase in productivity (or in other words, we may be overestimating AI's impact on productivity). Unfortunately, we do not have access to data on (say) features developed per programmer to truly assess the productivity boost.

AI may have added 100-500bp to Software sector productivity growth



Source: Company data, HSBC estimates

Total number of employees at major software companies*



Source: Company data, HSBC *Oracle, Adobe, Intuit, Salesforce, ServiceNow, SAP and Microsoft as a proxy for the sector

So what?

If a challenger tried to replicate (say) SAP using a new vibe coded system, they may be able to develop an alternative SAP that could be 1-5% cheaper (reflecting 100-500bp improvement in productivity estimated above) than what it cost the original SAP to build itself. But considering the heavy costs of replacing an existing ERP vendor and hardly 3% per annum churn, it is far from clear that the challenger will have a winning cost advantage.

Because software incumbents have significant advantages, challengers need far more than a small cost advantage to displace them

Software incumbents have significant advantages including users' familiarization with the system GUI, interoperability with other tools, favourable network externalities including availability of experienced support staff, and bug reduction that comes after decades of being used by thousands of enterprise customers. A challenger needs a lot more than a slight cost advantage to replace the incumbents.

Video Games on AI – Maybe better but not cheaper

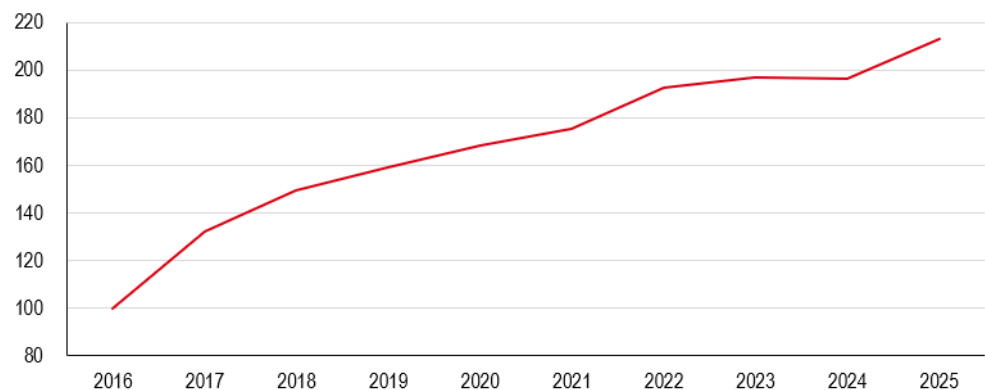
We see limited tangible results that AI or the introduction of AI is leading to employee efficiencies or further cost savings

We agree with the conclusions made by our colleagues covering the Software sector: we see limited tangible results that AI or the introduction of AI is leading to employee efficiencies.

Gaming operators are highlighting how they are incorporating AI in their games production and where they are seeing improvement and benefits in productivity, be it in asset production, storyboarding, translation, quality assurance and testing or NPC behaviour. The use cases are also extending outside of development to post release management from player content generation and retention, personalised marketing as well as game moderation and management.

However, there is almost no data proving that this is leading to cost saving efficiencies; quantitatively – but even qualitatively – the focus is on highlighting initiatives and benefits with no major focus on ROI.

Video games industry - Employee numbers (rebased to 100)



Source: Company data, Average employee numbers for major gaming companies: CD Projekt, Take-Two, Electronic Arts, Ubisoft, Roblox, Nintendo, Sony, Unity, Bandai Namco, Konami, Capcom, Square Enix, NetEase

We highlight the messages from a number of key video games developers on AI and how it is impacting the industry.

Take-Two

Strauss Zelnick (TTWO CEO) on AI (2Q26 results 7 August 2026) “We have 13,000 colleagues...we believe that technology can enhance their creativity, but we do not believe it can or should replace their creativity...so unlike some of our competitors who are announcing opportunities to save hundreds of millions of dollars with AI. I've said since the beginning that the history of new technology in the interactive entertainment business is efficiencies are created, are indeed created, but then we find ways to do bigger and bigger things. And **we actually don't reduce the cost of doing those things, but we can meaningfully increase the quality.** And what does meaningfully increase the quality mean for us? It means making bigger and bigger hits that appeal to more and more consumers.”

Electronic Arts

Andrew Wilson (EA CEO) on 4Q25 results (6 May 2025): “We view AI as a powerful accelerator of creativity, innovation, and player connection. Across our teams, we're investing in new workflows, and capabilities to integrate AI to enhance how we build, scale, and personalize experiences, from dynamic in-game worlds to delivering authentic athlete, and team likenesses at incredible scale.”

Sony (PlayStation)

Hiroki Totoki (President / CEO Sony Group) on FY26 results (8 May 2026): “Let me start by stating a core principle that guides our thinking about AI. Human creativity must remain at the center. AI is a powerful tool, but it's not a replacement for artists or creators.”

(Hideaki Nishino (President and CEO of Sony Interactive Entertainment) on FY26 results (8 May 2026): “AI is also already a part of our platform business. To take one example, over the last three years, AI-powered tools ensured that transactions were routed efficiently over the payment networks, generating over USD700 million of incremental revenue...We've already seen how AI models can outperform manual curation, and this will continue to improve.”

CD Projekt

Piotr Nielubowicz (CFO CDR) on 3Q25 results (26 Nov 2026): “The availability of the talent has been maybe a little bit more increased over the past two years. But I'm not sure I would actually necessarily ascribe it to AI to be perfectly honest. I mean, the studios -- various studios were going through various turmoil...And can we imagine that we reduce headcount thanks to AI tools? I don't imagine that. Our usage of AI is mainly in the productivity areas, to be honest, and that's where we see the largest benefits in that. And the benefits are real, and they're meaningful, but it's not really a situation, and I'm unaware of such a situation in the industry where AI like can sit down and make games for the people. I don't think this is really where it's heading. That's our take on that.”

AI showing greater clarity for APAC operators

Tencent

On 4Q25's earnings call, Tencent management shared that they think their game business is resilient in the age of generative AI. They highlighted that multi-player games (especially PvP games) have massive network effects and that gamers would always prefer to participate in the game themselves or watch the teams they support compete in sports rather than watching AI sports. In addition, their evergreen games have a strong IP appeal to users that cannot be easily substituted. Generative AI is not currently capable of creating innovative gameplay-centric games, it will also take time for them to generate consistent outcomes from similar inputs.

While AI can bring potential disruptions, it can also bring ample benefits. Tencent management thinks the most beneficial areas include 1) accelerating 3D asset production and animation, 2) enhancing player experiences with more intelligent in-game guides such as virtual teammates and NPCs, 3) delivering more realistic graphics via AI rendering techniques and 4) facilitating new user acquisition and existing user retention via better tailored services and interactions. Overall, management notes that generative AI enables the company to produce content faster, at a larger scale. All of this can lead to a better user experience and direct monetization, sitting on a wealth of user data, we think big gaming platforms like Tencent are poised to benefit more. Provided headcount can be kept stable, we note margin expansion would be a natural result from AI adoption.

In Apr 2026, Tencent launched open-sourced HY-World 2.0. The significance of this launch is that the model can support multi-modal inputs (text, image, video) to generate 3D assets that can be seamlessly imported to mainstream game engines like Unity and Unreal Engine for further polishing. This is ideal for rapid building of game maps and level prototypes. This is different from purely generating pixel-level videos by HY-World 1.5. The model has performed particularly well in scene completeness and adherence to the input image. In Jul 2026, Tencent iterated the model to HY-World 2.1, with even cleaner geometry, sharper rendering and larger explorable range.

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Comparison of Tencent's latest world model (HY World 2.1) vs. other world models

Company	Tencent	Others
Model	HY World 2.1	Other video world models (e.g. Project Genie, Cosmos)
Output	Real 3D assets	Pixel videos (non-editable)
Playable duration	Unlimited (as assets persist permanently)	Limited (typically 1 minute)
3D consistency	Native (inherently consistent in 3D)	No (flickering, artifacts across views)
Real-time rendering	Consumer GPU can render in real time	Requires per-frame inference; high latency
Controllability	Precise (zero-error control, real physics collision, accurate lighting)	Weak (imprecise character control, no real physics)
Inference cost	One-time generation; rendering cost is roughly zero	Accumulates with every interaction
Engine compatibility	Directly importable into Unreal Engine, Unity, etc	Video files only
Open- or closed-source	Open	Some are open, some are closed

Source: Company data, HSBC

NetEase

NetEase has integrated AI across internal workflows for all 10k-plus developers, including design, programming, arts, and quality assurance. Management acknowledged while Project Genie can lower entry barriers for game production from indie studios, there are still technical challenges such as severe latencies, high computing costs, turning probabilistic AI output into reliable output like game rules/logic.

AI also increases the threshold to make a blockbuster. Beyond just competing on higher production capacity, game developers need to integrate the design of numerical system, in-game economics, and engaging social ecosystems well with AI – these are what NetEase has proven to be highly successful in over the years. In addition, NetEase can differentiate via: 1) vertical proprietary LLM, training on its gaming datasets accumulated over the years; 2) sharper focus on translating AI to improve user experience and commercialization (e.g. intelligent NPCs and UGC tools have improved retention rate of its games); and 3) cross-discipline talent who have know-how in both algorithm, graphic engines, and understanding of game design.

Other smaller game studios

As A-share gaming analyst Jing Han highlighted in [AI series: Will AI replace game makers?](#) (29 July 2026), A-share gaming companies have improved their R&D efficiency through the adoption of AI tools. We can find evidence in R&D expense ratios in 2025 which were on average 4ppt lower than in 2021, while per capita revenue in 2025 was 55% higher. AI has also been positive for revenue. For example, regular rapid content iteration contributes to the emergence of evergreen games and speeds up game translation for the launch of international versions. While AI tools can create causal games quite readily, it is not equipped with what it takes to develop sophisticated blockbuster games yet.

Century Huatong

In the case of Century Huatong, AI is deeply embedded in its game production, including 1) AI generates 80%-90% of basic codes; 2) AI tools enable them to update contents much faster, thereby extending the lifecycle of their games; and 3) AI tools reduce both the time and manpower required for translation, therefore facilitating the localisation of gaming products in various regions.

How Korean gaming companies utilize AI

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AI rollout amid workforce optimization

Korean gaming companies have embraced AI aggressively like their global peers, while pursuing workforce optimization over the same period. However, the trigger of labour cost optimization was less AI itself than cost discipline in response to deteriorating earnings. AI functioned as a structural enabler that made a leaner-headcount development model sustainable. In particular, given a Korean labour market where the US's relatively low-cost/ immediate layoffs are difficult, Korean gaming companies have executed the optimization in labour costs through more indirect ways since 2024 such as early-retirement programs (ERP), recommended resignations, spin-offs, and reduced hiring. As a result, wage cost savings have tended to appear as operating leverage like 'increasing output amid holding flattish headcount'. For example, NC Corp, which exceeded 5k employees at the headquarters in 2023, fell significantly to around 3.2k employees in 2025. Krafton also implemented an ERP in early 2026 (despite smaller size than NC). Interestingly, employees with shorter tenures received relatively higher severance packages, which we infer was part of a strategy to reduce unskilled headcount and boost operational efficiency through AI. Against this backdrop, AI was rapidly adopted across all areas of operations among Korean game developers.

Four directions of Korean gaming companies' AI adoption

Korean gaming companies' AI adoption falls largely into four ways given the comments of managements in each company during the result conference call over the past two to three years: 1) improving productivity for new game development, which saves internal costs, through automating art, translation, quality assurance, and coding; 2) enhancing live-operation capabilities and data analysis, which can prolong IP life-cycle, through detection of abuse or cheat, personalized monetization model introduction, and churn prediction; 3) in-game AI content such as enhanced NPCs and CPCs (Co-player characters); and 4) new B2B businesses with own sLLMs. We highlight two companies at the forefront of AI adoption: Krafton and NC.

Krafton

Krafton appears to be at the forefront of leveraging AI for in-game content. It launched a beta version of 'Ally mode' in Jun-26 in PC PUBG, its representative title. The feature allows players to team up with AI-driven companions and communicate with them via voice commands to perform combat, movement, and item collection. Unlike traditional NPCs which are limited to repetitive behaviour patterns, PUBG Ally understands both spoken instructions by players and in-game contexts simultaneously to make real-time decisions and actions. This makes a new freshness for players, leading the company to attract much wider user base globally. Although Krafton has recently been committing resources to develop AI-based autonomous driving (by its investment stake in Socar (403550 KQ, not rated) and robotics techs, we see low visibility of monetization at this stage like what we highlighted in [Buy: Anchored by PUBG, powered by non-PUBG](#), 30 July 2026.

NC

NC has yet to introduce prominent AI-powered in-game content comparable to Krafton's. Instead, the company spun off its long-standing AI research department into NC AI in early 2025 and has been seeking various B2B opportunities through its proprietary sLLM, VARCO. Nevertheless, we see two compelling reasons to expect NC's AI initiatives to stand out relative to its peers. First is NC's differentiated positioning in the AI era. While AI undeniably enhances productivity and accelerates the expansion of content supply across the global gaming market, it is simultaneously intensifying IP competition, driving down hit ratios. But, NC can utilize this situation for its better monetization through JustPlay, an ad-tech reward platform consolidated from 2Q26, because the platform which shows user growth generally gets bargain power against content suppliers. Second, as a renowned powerhouse in MMORPGs, NC is highly likely to develop innovative content leveraging AI-driven CPCs. This potential is particularly noteworthy given that news regarding such initiatives is already beginning to surface in Korea.

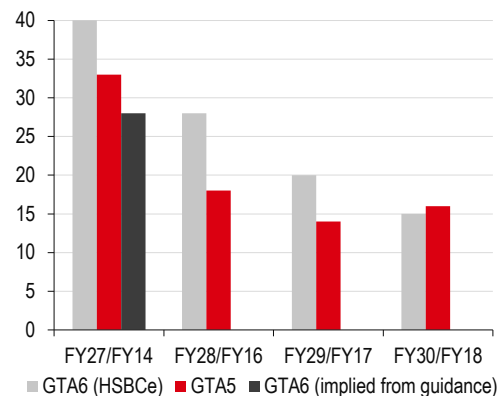
GTA VI – make or break for TTWO and the industry?

We forecast GTA VI unit sales of c40m in FY27e, greater than the prior (GTA V in 2013) franchise release at the roughly same time period from launch, despite a smaller console attachment rate, which we think is justified given the scale of built-in audience, levels of pent up demand, and with competitors clearing the field (for more see [TTWO- Buy: Showtime](#) 19 June 2026)

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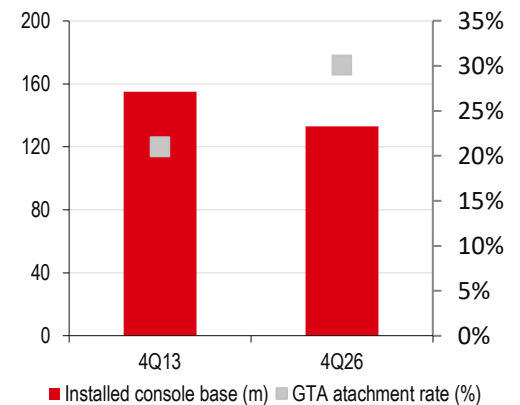
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GTA V unit sales in respective TTWO fiscal years at launch (m)



Source: Company disclosures, HSBCe

Total PS and Xbox console base and implied GTA V vs VI attachment rates



Source: Company disclosures, HSBCe

Our estimate also stands higher than the implied GTA VI unit sales in management's latest FY27e bookings guide. We believe management is being overtly cautious with their guidance until the sales officially launch and highlight that they have described the early pre-order sales as "exceptional" and "unprecedented", and that they did not expect a drag from rising console pricing or talk of delays to next-gen console launch.

We note encouragingly that 3rd party data from Sensor Tower indicates that 89% of pre-orders are for the USD100 ultimate edition (rather than standard USD80 edition), supporting our USD85 blended average forecast SKU.

While TTWO has yet to officially announce a dedicated online multiplayer mode for GTA VI, our base case assumes a multiplayer mode will arrive in the following few weeks or months after the release, in line with the historic playbook followed with GTA V, and we expect it to generate an incremental USD1.3bn in annual re-occurring revenues for TTWO in FY28e.

Take-Two: GTA V – Sales USDm



Source: Company data, excludes 3Q14 – initial game sales of USD1.4bn

Microsoft refocusing – resetting XBOX

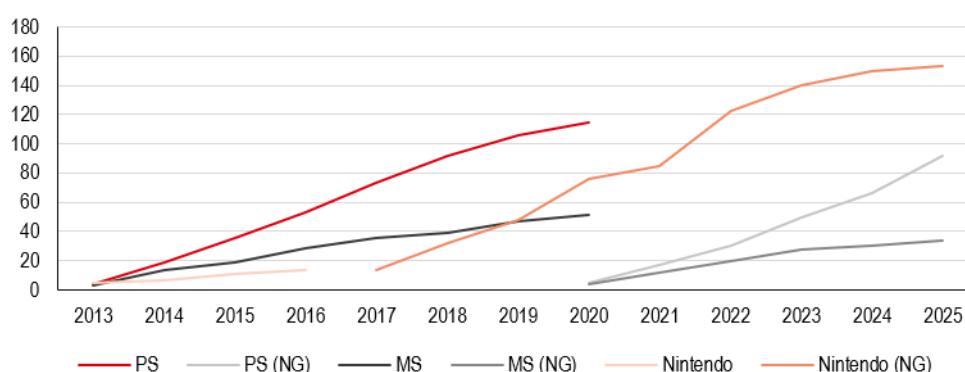
On 20 Feb 2026, Phil Spencer retired as CEO of Microsoft Gaming, replaced by Asha Sharma, (formerly president of MSFT's CoreAI product division) and reporting directly to MSFT CEO Satya Nadella, who commented that he is "long on gaming and its role at the centre of our consumer ambition".

As part of the new CEO's review, on 6 July 2026, there were 4,800 roles cut at MSFT, with 3,200 at XBOX and the exit of four major studios to new management. This effectively unwound almost a decade of studio expansion and growth which at the time was to grow the XBOX install base and game pass subscriptions.

Instead of a broader adoption strategy which was designed to give mass appeal to GamePass (XBOX gaming subscription) the new strategy is focusing on pushing its key franchise titles such as Halo, Elder Scrolls, Fallout, Forza, Call of Duty, and World of Warcraft. Meanwhile, they are also continuing to invest in their platform and mobile studios Mojang (Minecraft) and King (Mobile games).

With a new console generation in the works (Project Helix) and likely expected in 2028, the new strategy to highlight how the ecosystem evolves remains unknown as yet. Gaming is a relatively inconsequential segment for Microsoft, accounting for 5.2% of FY27e revenue and a significantly smaller share of non-GAAP operating profit.

Console generation – lifetime sales (m)



Source: Company data; PlayStation (PS) MS – Microsoft Xbox; NG – Next generation (i.e. PS5 / XBOX One / Nintendo Switch)

However, the new CEO has made it clear that her ambitions are to turn around the division that has margins 3-10x lower than the group be accountable for the capital the division takes and be inline with industry peers.

The gaming segment organic revenue growth has generally hovered around 0%. Strong reported growth in CY23 and CY24 driven by the USD69bn Activision Blizzard acquisition and growth in CY21 was helped by pandemic shutdowns and the USD7.5bn ZeniMax Media acquisition.

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XBOX losing the console war

Microsoft: Revenue by segment – Gaming a very small part of revenue

FYE June, USDm	2024	2025	2026	2027e	2028e	2029e	2030e	2031e
Revenue	245,122	281,724	331,839	402,719	501,990	610,007	728,696	868,808
Server products and cloud services	79,828	98,435	129,425	182,644	257,006	338,286	431,394	550,141
Azure	56,015	75,173	105,722	158,940	233,303	314,583	407,691	526,438
Other server products	23,813	23,262	23,703	23,703	23,703	23,703	23,703	23,703
Microsoft 365 Commercial products and cloud services	76,969	87,767	101,997	117,297	134,891	155,125	173,740	187,639
Gaming	21,503	23,455	21,790	20,971	21,265	22,009	22,780	23,577
Windows & devices	17,026	17,314	17,084	15,498	17,222	17,567	17,918	18,277
LinkedIn	16,372	17,812	19,817	21,204	22,688	24,277	25,976	27,794
Search and news advertising	12,306	13,878	15,176	16,429	17,907	19,519	21,276	23,190
Enterprise & partner Services	7,594	7,760	8,260	8,756	9,281	9,838	10,428	11,054
Dynamics	6,831	7,827	9,006	10,177	11,500	12,650	13,915	15,306
Microsoft 365 Consumer products and cloud services	6,648	7,404	9,175	9,634	10,115	10,621	11,152	11,710
Revenue (y-o-y)		14.9%	17.8%	21.4%	24.7%	21.5%	19.5%	19.2%
Server products and cloud services		23.3%	31.5%	41.1%	40.7%	31.6%	27.5%	27.5%
Azure		34.2%	40.6%	50.3%	46.8%	34.8%	29.6%	29.1%
Other server products		-2.3%	1.9%	0.0%	0.0%	0.0%	0.0%	0.0%
Microsoft 365 Commercial products and cloud services		14.0%	16.2%	15.0%	15.0%	15.0%	12.0%	8.0%
Gaming		9.1%	-7.1%	-3.8%	1.4%	3.5%	3.5%	3.5%
Windows & devices		1.7%	-1.3%	-9.3%	11.1%	2.0%	2.0%	2.0%
LinkedIn		8.8%	11.3%	7.0%	7.0%	7.0%	7.0%	7.0%
Search and news advertising		12.8%	9.4%	8.3%	9.0%	9.0%	9.0%	9.0%
Enterprise & partner Services		2.2%	6.4%	6.0%	6.0%	6.0%	6.0%	6.0%
Dynamics		14.6%	15.1%	13.0%	13.0%	10.0%	10.0%	10.0%
Microsoft 365 Consumer products and cloud services		11.4%	23.9%	5.0%	5.0%	5.0%	5.0%	5.0%

Source: Company data, HSBC estimates

Gaming sector: Major players

USDm, CY	2020	2021	2022	2023	2024	2025	2026e	2027e
Gaming sector revenue								
Microsoft: Gaming	13,829	16,282	15,563	18,128	22,675	22,719	21,281	20,914
Sony: Game & network services	23,002	24,372	24,405	30,060	30,785	31,343	29,325	29,190
Nintendo	16,024	14,862	12,631	11,991	8,043	14,079	13,902	15,106
Electronic Arts	5,670	6,512	7,377	7,657	7,347	7,306	8,495	8,181
Take-Two	3,294	3,414	4,834	5,396	5,451	6,559	7,873	8,904
Tencent games	27,871	32,540	30,723	30,787	33,452	39,935	45,557	49,104
CD Project	2,139	888	953	1,230	985	821	782	NA
NetEase: Games & related	7,958	10,517	11,043	11,454	11,639	12,914	14,710	16,056
Total	99,787	109,388	107,528	116,704	120,375	135,676	141,925	147,455
Gaming sector revenue: y-o-y								
Microsoft: Gaming		17.7%	-4.4%	16.5%	25.1%	0.2%	-6.3%	-1.7%
Sony: Game & network services		6.0%	0.1%	23.2%	2.4%	1.8%	-6.4%	-0.5%
Nintendo		-7.3%	-15.0%	-5.1%	-32.9%	75.1%	-1.3%	8.7%
Electronic Arts		14.9%	13.3%	3.8%	-4.0%	-0.6%	16.3%	-3.7%
Take-Two		3.7%	41.6%	11.6%	1.0%	20.3%	20.0%	13.1%
Tencent games		16.8%	-5.6%	0.2%	8.7%	19.4%	14.1%	7.8%
CD Project		-58.5%	7.3%	29.1%	-19.9%	-16.6%	-4.7%	NA
NetEase: Games & related		32.2%	5.0%	3.7%	1.6%	11.0%	13.9%	9.2%
Total		9.6%	-1.7%	8.5%	3.1%	12.7%	4.6%	3.9%

Source: Company data, HSBC estimates

Microsoft has historically focussed on selling Xbox to a large number of customers and then offering games that ran exclusively on Xbox. However, considering slow adoption of consoles throughout the industry, Microsoft changed its strategy and transitioned from a traditional hardware-locked console ecosystem into a multi-platform, cloud-enabled content and services network targeting billions of players globally across console, PC, mobile, and cloud environments. Microsoft brought former Xbox-exclusive titles like Sea of Thieves, Forza Horizon 5, Indiana Jones, and Starfield to Sony PlayStation 5 and Nintendo Switch to maximize software sales and total player reach.

Valuation and risks

Valuation		Risks
CD Projekt CDR PW Hold	Current price: PLN 258.30 Target price: PLN 275.00 Up/downside: +6.5%	We value CD Projekt on a PE basis, on FY27 earnings estimates as we expect it to be a year of major AAA game releases. We now use 19.5x (vs 20.5x earlier) on FY27e EPS, as we take a slightly cautious view to account for delay of the release of Witcher 4 (next major AAA game). The multiple continues to be at a discount to the past 10-year average multiple of higher-quality peer Take-Two. We further discount by our CoE of 10.25% (unchanged) to present value. To calculate our CoE, we use HSBC's strategists' assumptions of a risk-free rate of 4.25% (unchanged), local equity risk premium 7.25% (unchanged) and beta of 0.8 (5Y avg, unchanged). This gives us an unchanged rounded off TP of PLN275, as lower multiple offsets the shorter period of discounting. We believe shares are fairly priced with c7% implied upside as we see potential positive momentum from future release updates, but with limited earnings upside. We make no changes to estimates. Ali Naqvi ali.naqvi@hsbc.com +971 4 5093 361
	Upside risks: Earlier-than-expected release of Witcher 4 or better-than-expected sales; additional content could generate higher sales than expected, due to other expansion packs and downloaded content growth generating better-than-expected engagement; we see upside from the IP partnerships, if the company can generate higher returns driven by the partnership. Any IP licensing deal would also be positive. Downside risks: Delay in release of Witcher 4/other titles or weaker-than-expected sales; poor execution of game releases, both in terms of marketing and game execution, which would impact lifetimes sales; weakness in consumer demand, cost inflation, and other macro factors, reducing ability of consumers to spend on games; competitive behaviour increasing, including more releases from other developers and major titles competing with CDR's titles.	
Century Huatong 002602 CH Buy	Current price: RMB14.30 Target price: RMB23.60 Up/downside: +65.5%	We use a PE multiple to value the stock. We estimate a 2025-27 net profit CAGR of 42%, c50% above the peer average of 28% over the same period. Therefore, we apply a 19x target PE, c46% above the peer average 2026e forward PE of 13x. Based on our 2026 EPS estimate of RMB1.24, we derive our target price of RMB23.60, implying c66% upside from current levels. Therefore, we maintain our Buy rating on the stock. Jing Han* (Reg no: S1705518080001) jing01.han@hsbcqh.com.cn +86 10 5795 2344
	Downside risks: Delays in game launches; operational risks in overseas markets; loss of key personnel; stricter regulations on game products; corporate governance and compliance risks.	
NC Corp 036570 KP Buy	Current price: KRW230,000 Target price: KRW390,000 Up/downside: +69.6%	We use a sum-of-the-parts (SOTP) valuation approach (see table), using the fair values of the core game business and the ad tech-based casual game business we calculate to reflect differentiated earnings growth rates by division. For the core game business, which includes PC games and mobile games based on legacy IPs and new games under development, we use a target PE multiple of 11.2x, the average of the reference period of 2012-17 (when NCSoft de-rated due to concerns about earnings with new game failures and new game launch delays and before the launch of Lineage M), with a 55% discount rate to reflect weak investor sentiment in NC's new IP development and the overall Korean gaming sector. We apply our target PE multiple to our core game business 2026 NP estimate of KRW417bn. This gives us a fair value of KRW4.7trn. For the ad tech-based casual game business, we use a target PE multiple of 35x. Given the strong earnings growth potential (we estimate NP growth of 70%, on average, in 2026-28), our target PE multiple implies a PEG of 0.5, reflecting our conservative approach amid unfavourable sector sentiment. We apply our target PE multiple to our casual game business 2026 NP estimate of KRW63bn. This gives us a fair value of KRW2.2trn. All assumptions remain unchanged. After combining the two business segments' values, we deduct NC's net debt of KRW1.5trn. This gives us our fair value per share of KRW388,752. After rounding, we derive our unchanged target price of KRW390,000. Our target price implies a 17x PE multiple based on our 2026 EPS estimate. Our TP implies c70% upside; we retain our Buy rating. Junhyun Kim junhyun.kim@kr.hsbc.com +82 2 3706 8763
	Downside risks: 1) unexpected intensifying competition in the loyalty gaming platform market that causes JustPlay's MAU numbers to fall; 2) any regulatory changes related to reward apps globally; 3) unexpected revenue declines in legacy IP-based games; 4) significant new game launch delays of key titles, such as Horizon: Steel Frontier (we assume its launch in 4Q27e); and 5) weaker-than-expected performance by AION 2 in the western market after the launch in 3Q26e.	

Valuation		Risks
Krafton 259960 KP Buy	Current price: KRW226,500 Target price: KRW380,000 Up/downside: +67.8%	Downside risks: (1) Unexpected user outflow due to new competitive battle royale shooter game launches by competitors due to the high earnings reliance on the PUBG IP (including a bigger negative impact from the launch of Valorant mobile in China than our expectation); (2) any unexpectedly significant delay in the newly acquired development studios' entry into a full-scale new title release cycle; (3) unexpected failure of asset allocation (as the company is investing not only in game studios but also areas such as short-form content and animation production to extend the IP lifecycle, there could be margin pressure if such investments fail to generate synergies in the future); (4) unexpected regulations (PUBG Mobile, for instance, was suspended in India in September 2019. Krafton released BGMI in India in July 2021, but it was also suspended in July 2022. However, it resumed service from May 2023); and (5) potential fluctuations in non-operating income and expenses due to the impact of foreign exchange (if the KRW appreciates by 5%, the revaluation effect of foreign currency financial assets and liabilities, based on 3Q25, would result in a decrease of about KRW53bn in profit before tax).
Junhyun Kim junhyun.kim@kr.hsbc.com +82 2 3706 8763		
Microsoft MSFT US Buy	Current price: USD481.60 Target price: USD595.00 Up/downside: +23.5%	Downside risks: Higher-than-expected competitive intensity, weaker-than-expected stock market or macroeconomic environment, adverse regulatory action, higher than expected competitive pressures in the GPU cloud space, default by major customers (particularly AI labs), and cybersecurity risks.
Stephen Bersey stephen.bersey@us.hsbc.com +1 212 525 4153		
Tencent 700 HK Buy	Current price: HKD442.40 Target price: HKD655.00 Up/downside: +48.1%	Downside risks: ◆ Inability to get monetisation approval for games ◆ Regulatory headwinds for games and internet finance ◆ A deeper macro slowdown that could affect advertisers' budgets ◆ Inappropriate advertising and video content ◆ Changes in user preferences in terms of entertainment formats or communications ◆ Overhang from major shareholders' reduction of stake over time ◆ Being included in lists of overseas regulators that can affect operations or even trading/ownership of the stock ◆ Higher-than-expected AI investment intensity and/or weaker monetisation/ROI could pressure margins and cash flow
Methodology: DCF Assumptions: WACC of 8.4% is based on a debt/debt-and-equity ratio of 21.1%, risk-free rate of 4.25%, mainland China market equity risk premium of 4.75%, beta of 1.21, tax rate of 25%, and cost of debt of 3.2%. Terminal growth rate of 3.5%. Our inputs remain unchanged. We derive a TP of HKD655, which implies c48% upside. Maintain our Buy rating see solid fundamentals in games and ads. RMB counter: For the RMB counter (80700 HK, RMB376.80), our TP of RMB589.00 is converted from our H-share target price based on the HSBC fx team's RMB-HKD assumption of 1.17 at end-2026e. Charlene Liu charlene.r.liu@hsbc.com.sg +65 6658 0615		
NetEase NTES US Buy	Current price: USD124.80 Target price: USD150.00 Up/downside: +20.2%	Downside risks: ◆ Difficulty in obtaining game monetisation approvals ◆ New game launches missing expectations ◆ Significant declines from legacy titles Intense competition from Tencent and Mihoyo
Methodology: Sum of the parts approach (see table). Our TP implies c20% upside and we maintain our Buy rating as we are encouraged to see NetEase's successful game launches in new genres and its expansion into overseas markets. Secondary listing: For the local shares (9999 HK, HKD194.20), our unchanged target price of HKD234.00 is based on our TP for NTES US, a year-end 2026 USD-HKD forecast of 7.83, and ADS-to-Hong Kong-listed-share conversion ratio of 1-to-5. Ritchie Sun ritchie.k.h.sun@hsbc.com.hk +852 2822 4392		

Valuation		Risks
Take-Two TTWO US Buy	Current price: USD242.4 Target price: USD285.0 Up/downside: +17.6%	Methodology: We value TTWO using a multiples-based approach (see table), in line with our broader HSBC global Media and Tech industry coverage, benchmarking against our peer group of video game publishers, and apply our target multiple on EV/28e adj. EBITDA.. We maintain our target multiple of 20x, a sizable premium to our peer group trading mean of 6x which we think remains justified given: TTWO's strong IP, diversified offerings across genres and platforms, sizable recurring revenue contribution, and as we forecast TTWO to grow adj. EBITDA at a c52% CAGR over 2026-28e (vs our peer group median of only 11%) We apply a 20x FY28e adj. EBITDA multiple and arrive at c18% upside to the current share price. We maintain our Buy rating on the back of upside potential to earnings with the expected release of the online mode of GTA6, growing uptake of the D-T-C platform, and scope for greater efficiencies from advances in AI-powered marketing and development tools Mohammed Khallouf mohammed.khallouf@hsbc.com +852 2822 4392
	Downside risks: ◆ Revenue concentration risks around GTA6 title. ◆ Weaker-than-expected macro and/or slower console upgrade cycle could adversely impact game sales. ◆ Recurring spend on sports titles could face regulatory or legal actions	
Prosus PRX NA Buy	Current price: EUR37.00 Target price: EUR67.00 Up/downside: +81.1%	Methodology: We value Prosus using a sum-of-the-parts approach and apply a 20% holding company discount. We use HSBC's TP of HKD655 for Tencent in our SoTP approach for Prosus because of our positive view on the stock as well as better earnings and growth visibility at Tencent, which we think needs to be factored into Prosus' valuation (Prosus owns a 23% stake in Tencent; Naspers has a 43% ownership in Prosus). We derive valuation of other listed assets based on their current market price and use USD/EUR at 1.15 and USD/ZAR 16.38. For classifieds, food delivery, payments/fintech, and e-tail, we use a mix of multiples-based and latest funding round valuations (detailed in the following SoTP tables). Our EUR67.00 TP implies upside of c81% and reflects Tencent's stake valued at HSBC's target price. Madhvendra Singh*, CFA madhvendra.singh@hsbc.com +971 450 93348
	Downside risks: ◆ Flawed capital allocation could dilute IRRs and reinvesting more of the Tencent dividends into loss-making businesses. ◆ Resumption of greater fund deployments may outweigh positive investor sentiment on the value crystallisation story. ◆ Tencent-related risks include inability to get monetisation approval for games; regulatory headwinds on games and internet finance; a deeper macro slowdown that could affect advertisers' budgets; inappropriate advertising and video content; and changes in user preferences in terms of entertainment formats or communication. ◆ Aside from Tencent, significant decline in valuation of other listed and unlisted businesses. ◆ Changes in Dutch tax laws that make it inefficient to exit investments, including that in Tencent, could weigh on Prosus.	
Naspers NPN SJ Buy	Current price: ZAE1,320.00 Target price: ZAR779.30 Up/downside: +69.4%	Methodology: For Naspers we use a sum-of-the-parts approach and apply a 10% holding company discount. Prosus owns a 23% stake in Tencent, while Naspers has a 43% ownership in Prosus (detailed in the SoTP tables below). Our ZAR1320.00 TP implies upside of c69% and reflects Tencent's stake valued at HSBC's target price (via Prosus shareholding). Madhvendra Singh*, CFA madhvendra.singh@hsbc.com +971 450 93348
	Downside risks: ◆ Greater outflows from South Africa. ◆ Volatility of Tencent's share price, which accounts for c82% of our NAV for Prosus, and downside risks for Tencent. These include inability to gain monetisation approval for games; regulatory headwinds on games and internet finance; a deeper macro slowdown that could affect advertisers' budgets; inappropriate advertising and video content; and changes in user preferences in terms of entertainment formats or communication. ◆ Adverse change to South African tax laws that make it less efficient to exit investments, including Tencent, could weigh on Naspers.	

Priced at 18 Aug 2026

Source: HSBC estimates

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations

Take-Two: game publishing peer group

Game publishers	EV/FY2 EBITDA (x)	EBITDA CAGR FY0-FY2 (%)
Embracer	2.5	0%
NCSOFT	4.8	122%
NetEase	6.7	12%
Nintendo	15.7	16%
Tencent Holdings	7.9	11%
Ubisoft	1.9	6%
Median	6.0x	11%

Source: LSEG EIKON consensus, 18 August 2026

NetEase: Sum-of-the-parts approach

Business	Ticker	Valuation method	Estimate year	Contribution to TP (USD)	Contribution to TP (%)	Valuation assumptions/rationale
NetEase (ex-music and Youdao)		DCF	2026	140.65	93.8%	WACC of 9.6%, based on a risk-free rate of 4.25%, mainland China market equity risk premium of 4.75%, beta of 1.16, debt/debt + equity ratio of 3%, and cost of debt of 3.7%. We also assume a terminal growth rate of 3%. Our assumptions are unchanged unless indicated.
Cloud Music	9899 HK	HSBC TP	na	4.61	3.1%	CMP HKD117.40, Hold, TP HKD184.00. NetEase has a 59.4% stake.
Youdao	DAO US	Market price	na	1.83	1.2%	CMP USD16.29, not covered. NetEase has 56.6% stake.
Other investments	na	Fair value	na	2.91	1.9%	Current market cap or latest value reported by company.
Target price (USD)				150.00		

 Note: Priced as of 17 August 2026
 Source: Bloomberg, HSBC estimates

Naspers SoTP

(USDbn, unless specified)	Stake	EV	Prosus EV	% of EV	Sales 2026e	Sales 2027e	EV/sales 2026e	EV/sales 2027e	EBITDA 2026e	EBITDA 2027e	EV/EBITDA 2026e	EV/EBITDA 2027e	Comments
Stake in Prosus prior to discount	c43%		70.2	115%									
Total			70.2										
Discount to Prosus			10.0%										
Value of Naspers investments			63.2										
Takealot	c100%	1.4	1.4	2.3%	1,151	1,297	1.2x	1.1x	81	104	17.7x	13.7x	1.2x FY27 Sales
Media24	c100%	0.0	0.0	0.1%	99	96	0.5x	0.5x	(12)	(2)	nm	nm	0.5x FY27 Sales
Net cash adj. by PV of corporate exp			(3.8)										
Equity value of Naspers			60.9										
ZAR/USD (HSBCe)			16.38										
Equity value of Naspers (ZARbn)			997.2										
No. of shares adj. for share buyback (bn)			0.75										
New Naspers TP (ZAR, rounded)			1,320.0										

Source: HSBC estimates. Priced as at close of 17 Aug 2026.

Prosus SOTP

USDbn, unless specified	Stake (%)	EV (USDbn)	Prosus EV (USDbn)	% of NAV	Sales		EV/Sales		EBITDA		EV/EBITDA		Comments
					2027	2028	2027	2028	2027	2028	2027	2028	
Tencent	22.6%		171.3	81.7%									Stake valued at HSBC TP
LatAm			5.3	2.5%									
o/w iFood	96.0%	3.3	3.2	1.5%	2,264	2,644	1.5x	1.3x	125	330	26.5x	10.0x	25% discount to Global food delivery listed peers average
o/w Despegar	100.0%	1.7	1.7	0.7%	949	1,091	1.8x	1.6x	179	217	9.5x	7.9x	Stake valued at acquisition price
o/w OLX Brasil	50.0%	0.9	0.4	0.2%									Latest funding round
Europe			14.0	6.7%									
o/w OLX	99.0%	8.7	8.6	4.1%	1,160	1,369	7.5x	6.4x	592	695	14.7x	12.5x	In-line with the historical sector transaction multiples
o/w La Centrale	100.0%	1.2	1.2	0.6%	128	154	9.4x	7.8x	54	67	22.3x	18.0x	Stake valued at acquisition price
o/w Just Eat Takeaway	100.0%	1.7	1.7	0.8%	3,656	3,838	0.5x	0.5x	97	173	17.8x	10.0x	25% discount to Global food delivery listed peers average
o/w eMAG	88.2%	1.4	1.2	0.6%	2,560	2,612	0.5x	0.5x	95	110	14.8x	12.8x	In-line with European E-tail listed peers
o/w iyizico	100.0%	1.2	1.2	0.6%	539	647	2.3x	1.9x	36	47	34.1x	26.4x	50% discount to Payment/Fintech listed peers
India			13.8	6.6%									
o/w PayU (India)	100.0%	9.6	9.6	4.6%	898	1,099	10.7x	8.7x	48	69	201.9x	140.1x	We use 7.8x target EV/Sales multiple on 2035e revenue and discount it at 9% WACC.
o/w Swiggy	22.3%		1.8	0.8%									Stake valued at 25% discount to current share price
o/w Meesho	11.3%		1.0	0.5%									Stake valued at current share price
o/w Urban Company	7.4%		0.2	0.1%									Stake valued at current share price
o/w Ixigo	16.2%		0.1	0.1%									Stake valued at current share price
o/w Bluestone	4.0%		0.1	0.0%									Stake valued at current share price
o/w Other	c8% - 24%*	5.3	1.0	0.5%									0.5x latest funding round
Other			5.2	2.5%									
o/w Meituan	3.5%		2.3	1.1%									Stake valued at current share price
o/w Delivery Hero	16.8%		2.2	1.0%									Stake valued at current share price
o/w Similarweb	12.8%		0.1	0.0%									Stake valued at current share price
o/w Skillsoft	34.6%		0.0	0.0%									Stake valued at current share price
o/w Stack Overflow	100.0%	0.0	0.0	0.0%	142	153	0.0x	0.0x	14	15	0.0x	0.0x	0.0x latest publicly disclosed valuation
o/w GoodHabit	69.9%	0.2	0.1	0.1%	67	74	3.1x	2.8x	10	11	21.7x	19.6x	0.5x acquisition price
o/w other ventures	19.6%	2.5	0.5	0.2%									0.0x - 0.5x of latest publicly disclosed valuation, HSBCe
Total NAV (USDbn)			209.6	100.0%									
o/w Listed assets			179.1	85.4%									
o/w Unlisted assets			30.5	14.6%									
Discount to SOTP			20.0%										
Value of Prosus investments (USDbn)			167.7										
Net cash Adj. by PV of corporate exp (USDbn)			(4.6)										
Equity value of Prosus (USDbn)			163.1										
EUR/USD			1.15										Spot rate 17 Aug 2026
Equity value of Prosus (EURbn)			141.6										
No. of shares (bn)			2.11										
Fair value of Prosus (EUR, rounded)			67.00										

Source: LSEG DataStream, HSBC estimates. Priced as at close of 17 Aug 2026. Note: PRX stake in different ventures within the respective segment

NC – SOTP valuation

(KRWbn)	2026 NP	PE (x)	Fair value
i) Core game business	417	11.2	4,676
ii) Ad-tech based casual game business	63	35	2,194
Less: net debt			-1,506
Total fair value			8,375
# of shares (m)			21,544
Fair value per share			388,752
Target price			390,000
Current share price*			230,000
Upside %			69.6%

Source: Bloomberg, HSBC estimates. Note: *Current share price is as at 17 August 2026

Companies mentioned in this report

Corporate	Ticker	Share price	HSBC rating
SAP	SAP GY	EUR182.50	Buy
Oracle	ORCL US	USD142.79	Buy
Hubspot	HUBS US	USD226.24	Not Rated
Salesforce	CRM US	USD196.14	Buy
ServiceNow	NOW US	USD119.49	Buy
Adobe	ADBE US	USD263.14	Buy
Intuit	INTU US	USD350.41	Buy
Autodesk	ADSK US	USD246.79	Buy
Ubisoft	UBI FP	EUR5.50	Not Rated
Sony	6758 JT	JPY3688	Not Rated
Nintendo	7974 JT	JPY8551	Not Rated
Electronic Arts	Not Listed	N/A	Not Rated
Socar Inc	403550 KS	KRW10180	Not Rated
Roblox	RBLX US	USD37.67	Hold
Unity	U US	USD46.74	Buy
Konami	9766 JT	JPY21635	Not Rated
Capcom	9697 JT	JPY4113	Not Rated
Bandai Namco	7832 JT	JPY5356	Not Rated
Square Enix	9684 JT	JPY2891	Not Rated
Naspers	NPN SJ	ZAR77925	Buy
Prosus	PRX NA	EUR36.96	Buy
Accenture	ACN US	USD172.93	Hold
TCS	TCS IN	INR2292.05	Hold
Infosys	INFO IN	INR1124.00	Hold
CapGemini	CAP FP	EUR107.30	Not Rated
Meituan	3690 HK	HKD 85.55	Buy
Swiggy	SWIGGY IN	INR 274.00	Hold
Delivery Hero	DHER GR	EUR37.00	Not Rated
Meesho	MEESHO IN	INR192.95	Not Rated
Skillsoft	SKIL US	USD7.62	Not Rated
SimilarWeb	SMWB US	USD8.57	Not Rated
Urban Company	URBANCO IN	INR144.97	Not Rated
Ixigo	IXIGO IN	INR172.26	Not Rated
Bluestone	BLUESTON IN	INR820.40	Not Rated
Embracer	EMBRACb.ST	EUR71.94	Not rated
Apple	AAPL.O	USD315.92	Buy

Source: LSEG Eikon, HSBC estimates. Priced at 18 Aug 2026

Disclosure appendix

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CD PROJEKT SA	CDR.WA	258.30	18 Aug 2026	–
CENTURY HUATONG	002602.SZ	13.90	19 Aug 2026	–
KRAFTON INC	259960.KS	221500.00	19 Aug 2026	–
MICROSOFT	MSFT.OQ	481.63	18 Aug 2026	6, 7
NASPERS	NPNJn.J	779.25	18 Aug 2026	–
NC CORP	036570.KS	219500.00	19 Aug 2026	–
NETEASE	NTES.OQ	124.75	18 Aug 2026	4, 6, 7, 11
PROSUS	PRX.AS	36.96	18 Aug 2026	7
TAKE-TWO INTERACTIVE SOFT	TTWO.OQ	242.40	18 Aug 2026	7
TENCENT HOLDINGS	0700.HK	447.20	19 Aug 2026	1, 4, 5, 6, 7, 11

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